



Indian companies recognise that robust governance carries a premium and failing to meet high ethical standards exposes them to serious reputational risks

class, and a rapidly evolving technological landscape, India presents an investment environment that is both scalable and sustainable. This unmatched capacity positions India as a critical player in shaping the global economic future, attracting long-term commitments from investors worldwide.

I am confident that India's pace of reforms will continue. Sound regulatory policies and the implementation of structural reforms will help India achieve even faster economic growth in the years ahead.

We need to remember that the key

to sustained growth and long-term success is good governance. Corporate governance is often seen as a measure of how well companies are run. Investors use it as an indicator to gauge the quality of a company's management and the effectiveness of its board.

It is now widely accepted that sound governance principles are essential for long-term development and sustainability. Companies and independent directors are increasingly responding to demands for accountability by better aligning themselves with the spirit of the rules and

regulations. A majority of Indian companies understand that robust corporate governance is essential for their development and sustainability. Value-driven governance enhances their worth as they seek to distinguish themselves from competitors.

Global investors are extremely cautious when identifying companies to invest in, with good governance being one of their primary focus areas. These investors are willing to pay a premium for companies where governance practices are perceived as strong.

As a result, most Indian companies recognise that robust governance carries a premium and that failing to meet high ethical standards exposes them to serious reputational risks and potential business failure.

Boards play a crucial role in collaborating with management to identify weaknesses and address areas for improvement. The board serves as the company's stewardship body, guiding and supporting management, especially during challenging times, and ensuring that the company emerges stronger and more resilient.

Commitment to good governance provides a distinctive competitive advantage, enhances reputation and investor trust, and ensures long-term sustainability. Organisations must focus on prudence and long-term growth, regardless of economic cycles. By focussing on sustainable practices companies can build a robust foundation.

I am confident that corporate governance practices in India will continue to improve, enabling easier access to global capital markets and greater transparency. **BT**

The author is former VC and CEO, HDFC Ltd. Views are personal